

gifts. Further, accountants who receive gifts generate only 78 percent of the annual income of accountants who don't receive gifts.

Note that cash gifts were not included in computing the annual incomes of accountants who receive gifts. When these tax-free dollar gifts are added to the incomes of gift receivers, then, on average, gift receivers have approximately 98 percent of the average annual income of nonreceivers. In spite of this, they still only have 57 percent of the net worth of accountants who do not receive gifts.

Accountants who receive gifts are not the only occupational group that has lower income and net worth characteristics. As you can see in [Table 5-2](#), gift receivers in seven other occupational categories also have lower levels of net worth than nonreceivers, including attorneys, 62 percent; advertising/marketing/sales professionals, 63 percent; entrepreneurs, 64 percent; senior managers/executives, 65 percent; engineers/architects/scientists, 76 percent; physicians, 88 percent; and middle managers, 91 percent.

Gift receivers in only two of the ten occupational groups have higher levels of wealth than nonreceivers. In spite of having lower incomes than nonreceivers, gift receivers who are high school/elementary school teachers have higher net worths than nonreceivers. Teachers who receive gifts have 185 percent of the net worth of the average for nonreceivers, but only 92 percent of the income. College/university professors who receive gifts have 128 percent of the net worth and 88 percent of the income of nonreceivers. Affluent parents can learn a great deal from gift receivers who are teachers and professors. Teachers and professors who receive cash gifts have a much higher propensity to accumulate wealth than do gift receivers in the other eight occupational classifications. How can one explain this peculiarity? To do so it is important first to explain why most gift receivers in general have a lower propensity to accumulate wealth than do nonreceivers.

1. GIVING PRECIPITATES MORE CONSUMPTION THAN SAVING AND INVESTING.

For example, affluent parents often subsidize their children's purchase of a home. The intent may be to help their children "get started on the right foot." The parents assume that such gifts are a once-in-a-lifetime phenomenon. Some have told us that they thought "this would be the last